Tranquil Aged Care
Transaction services and accounting

Management Accounts Pack March 2025

Nine months to 31 March 2025: year-to-date results against budget

Prepared for the Board of Tranquil Aged Care Pty Ltd and Coolwater Capital Pty Ltd

Prepared by Tranquil Aged Care finance team

Version 1.0, 11 April 2025

Unaudited, for management and lender information

Reference: TAC-MA-2025-03

Date: 11 April 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
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Legal name	Tranquil Aged Care Pty Ltd
ABN	71 956 336 974
Registered office	Level 9, 440 Bourke Street, Melbourne VIC 3000
Sector	Residential aged care (owner-operator), nine approved homes, 1,040 beds
Reporting period	Month of March 2025 and nine months to 31 March 2025 (financial year ending 30 June 2025)
Sponsor	Coolwater Capital Pty Ltd, manager of Coolwater Capital Healthcare Fund II
Date and version	11 April 2025, version 1.0
Prepared by	Tranquil Aged Care finance team
Prepared for	Board of Directors and prospective senior lenders

Document details

1. Basis of preparation

This pack presents the unaudited management accounts of Tranquil Aged Care Pty Ltd for the month of March 2025 and the nine months to 31 March 2025. All figures are in Australian dollars and are stated in millions (A$M) unless otherwise indicated. Budget refers to the Board-approved FY25 budget. Variances are shown as favourable or (unfavourable) to profit.

The accounts have been prepared on the same accounting policies as the financial statements for the period to 31 December 2024 issued on 28 February 2025 and have not been reviewed by Ashgrove Whitlam Audit Pty Ltd. Totals may not add exactly because of rounding. Last twelve month (LTM) metrics refer to the twelve months to 31 December 2024, being the latest period for which reviewed financial statements are available.

2. Executive summary

- Year-to-date revenue was A$82.0M against a budget of A$81.2M, a favourable variance of A$0.8M, driven mainly by Commonwealth subsidies under AN-ACC and supplements.
- Year-to-date EBITDA was A$12.6M against a budget of A$12.3M, favourable by A$0.3M. EBITDA margin was 15.4% against a budgeted 15.1%.
- Average occupancy for the nine months was 90.7% against a budget of 90.5%. Occupancy at 31 March 2025 was 91.0%, equal to 946 occupied beds out of 1,040.
- Employee costs were A$0.2M above budget, with agency labour at about 4.2% of staff costs. The 215 minute per resident per day care minute target, including the registered nurse component, was met.
- Cash at 31 March 2025 was A$6.0M. Existing bank debt is A$78.5M and the refundable accommodation deposit (RAD) liability is A$118.0M.
- The proposed A$95.0M senior secured term loan remains on track, with the term sheet targeted for 2 May 2025.

3. Year-to-date income statement

Table 1 sets out the consolidated result for the nine months to 31 March 2025. Net profit before tax was A$3.6M against a budget of A$3.2M. The favourable result at EBITDA level was supported by slightly lower interest cost, reflecting a lower average drawn balance than budgeted.

Line item	Actual	Budget	Variance
Commonwealth subsidies (AN-ACC and supplements)	55.9	55.2	0.7
Resident means-tested fees	12.1	12.0	0.1
Accommodation payments (DAP and contributions)	12.4	12.5	(0.1)
Other income	1.6	1.5	0.1
Total revenue	82.0	81.2	0.8
Employee costs (including agency)	(49.8)	(49.6)	(0.2)
Food and catering	(4.6)	(4.5)	(0.1)
Clinical and medical supplies	(3.3)	(3.3)	0.0
Property and utilities	(4.1)	(4.0)	(0.1)
Administration and other	(7.6)	(7.5)	(0.1)
EBITDA	12.6	12.3	0.3
Depreciation	(4.1)	(4.1)	0.0
EBIT	8.5	8.2	0.3
Interest and borrowing costs	(4.9)	(5.0)	0.1
Net profit before tax	**3.6**	**3.2**	**0.4**

Table 1: Income statement, nine months to 31 March 2025 (A$M)

4. Revenue and occupancy

Commonwealth subsidies represented 68.2% of total revenue and were A$0.7M ahead of budget. The favourable result reflects the mix of resident care needs classified under AN-ACC and the slightly higher average occupancy. Means-tested fees were close to budget. Accommodation payments were A$0.1M below budget because a small number of residents elected to pay by RAD rather than daily accommodation payment.

Occupancy has improved steadily through the year and reached 91.0% in February and March 2025. The portfolio has limited buffer at this level. Management estimates that a sustained fall of three to four percentage points would materially reduce interest cover from the 1.9x pro forma level discussed in section 9.

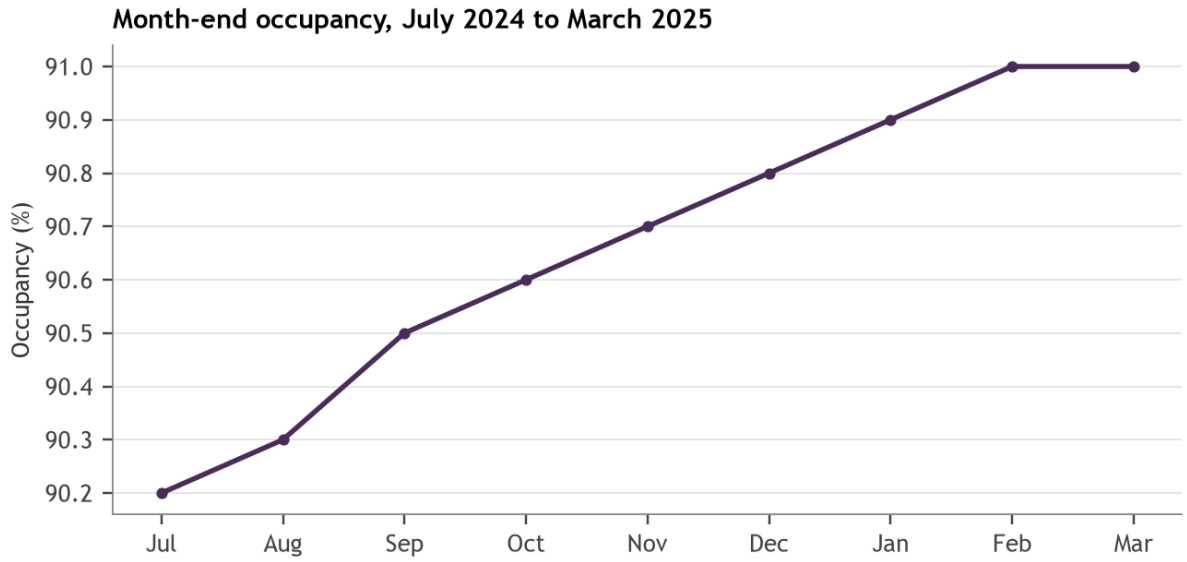


Figure 1: Monthly occupancy across nine homes. Average for the period 90.7%.

5. Costs and workforce

Employee costs of A$49.8M were 60.7% of revenue and A$0.2M above budget. The group employs about 1,420 FTE. Agency labour was approximately A$2.1M for the period, about 4.2% of staff costs, and was concentrated in nursing shifts at two regional homes. Management continues to convert agency usage to permanent and part-time roles.

Compliance with the 215 minute per resident per day care minute target, including the registered nurse component, was reported at all nine homes. Sustaining the target carries a continuing wage cost, and any further award or enterprise agreement increases are not fully reflected in the current budget.

Food, property and administration costs were each A$0.1M above budget. Utilities were affected by higher electricity tariffs, partly offset by lower repairs and maintenance following completion of stage one of the refurbishment.

6. March 2025 month result

Metric	Actual	Budget	Variance
Occupancy at month end (%)	91.0	90.8	0.2
Revenue	9.3	9.1	0.2
Employee costs	(5.5)	(5.5)	0.0
Other operating costs	(2.3)	(2.2)	(0.1)
EBITDA	**1.5**	**1.4**	**0.1**

Table 2: March 2025 month result (A$M, occupancy in per cent)

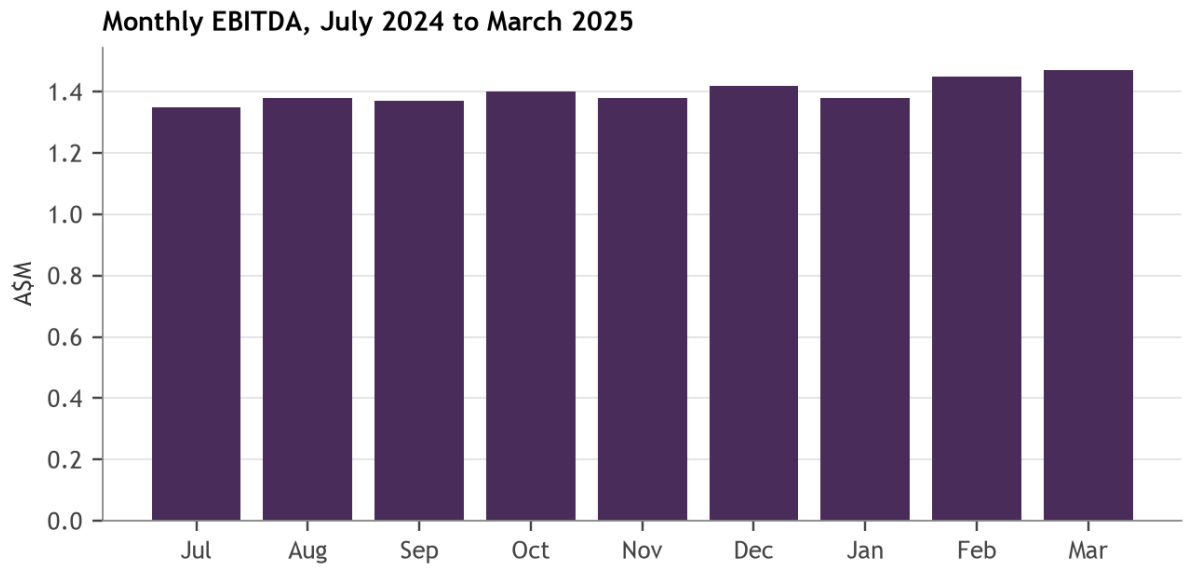


Figure 2: Monthly EBITDA. Total for the nine months A$12.6M.

7. Cash, debt and RAD liquidity

Cash at 31 March 2025 was A$6.0M. Existing bank debt was A$78.5M, giving net bank debt of A$72.5M. The RAD liability was A$118.0M, an increase of A$0.8M since 1 July 2024. RADs are repayable on resident departure, so a fall in new deposits would draw on cash or facility headroom. Receipts and refunds have been closely matched this year.

Item	A$M
RAD liability at 1 July 2024	117.2
RAD receipts	24.6
RAD refunds	(23.8)
RAD liability at 31 March 2025	118.0
Cash at 31 March 2025	6.0
Existing bank debt at 31 March 2025	78.5
Net bank debt at 31 March 2025	72.5

Table 3: RAD movement and selected balance sheet items

Interest and borrowing costs of A$4.9M for the period equate to EBITDA cover of 2.6x on the existing facility. The full statement of financial position is provided separately in the Board pack and is not reproduced here.

8. Capital expenditure

Capital expenditure for the period was A$3.4M against a budget of A$3.6M. Of this, A$2.2M related to completion of stage one of the portfolio refurbishment across three homes, which reached practical completion on 31 October 2024, and A$1.2M to routine replacement and compliance works. Stage two, with a budget of A$9.5M for the remaining refurbishment and room reconfiguration program, has not commenced pending funding. Pellow & Strand Quantity Surveyors Pty Ltd issued its report on the stage two program on 21 March 2025.

9. Refinancing update

The Information Memorandum was issued on 10 February 2025. Harcourt Dunmore Valuers Pty Ltd delivered its valuation on 14 March 2025, assessing the as-is market value of the freehold portfolio at A$158.0M. Beaumaris Corporate Advisory Pty Ltd is advising on the process and Fenwick Lyle Lawyers is acting for the borrower. The indicative terms sought are a A$95.0M senior secured term loan over 36 months, secured by first ranking mortgages and a general security agreement over all assets, priced at 3 month BBSW plus 5.25% per annum. The establishment fee is 1.75%, the line fee on undrawn commitments is 1.00% per annum, and an exit fee of 1.00% applies if repaid within 12 months.

Sources and uses	A$M
Senior secured term loan	95.0
Repay existing bank debt	78.5
Fund stage two refurbishment	9.5
Transaction costs, interest reserve and working capital	7.0
Total uses	**95.0**

Table 4: Proposed sources and uses

Metric	Value	Basis
Revenue	A$108.4M	LTM December 2024
EBITDA	A$16.5M	LTM, margin 15.2%
Net debt	A$89.0M	A$95.0M facility less A$6.0M cash
Net debt to EBITDA	5.4x	Pro forma, LTM
Interest cover	1.9x	Pro forma, LTM
Loan to value ratio	60.1%	A$95.0M over A$158.0M

Table 5: Pro forma credit metrics

Pro forma metrics are higher than the actual position at 31 March 2025 because they assume the facility is fully drawn at the proposed margin. The term sheet is targeted for 2 May 2025.

10. Risks and outlook

- Funding reform: changes to AN-ACC pricing, the new Aged Care Act and means-testing arrangements may reduce revenue per occupied bed. The budget assumes no change before 1 July 2025.
- Workforce: wage pressure, agency use at about 4.2% of staff costs and the cost of sustaining 215 care minutes remain the main cost risks.
- Liquidity: a fall in new RADs against a A$118.0M liability would draw on cash or facility headroom.
- Occupancy: at 91.0% there is limited buffer, and a sustained fall of three to four percentage points would materially reduce interest cover.
- Compliance: adverse findings or sanctions from the Aged Care Quality and Safety Commission at any single home could restrict admissions.
- Interest rates: the proposed facility is floating rate and only partial hedging is proposed, leaving cash flow exposed to BBSW movements.

Management expects full-year revenue and EBITDA to be at or slightly above budget, assuming occupancy holds at about 91.0% for the final quarter. This forecast has not been reviewed by the auditor.

11. Approval

Role	Name	Date
Prepared by	Finance team, Tranquil Aged Care	11 April 2025
Approved by	Graham Ostrowski, Chief Executive Officer	11 April 2025
Noted by	Priya Venkataraman, Chair, Audit and Risk Committee	11 April 2025

Table 6: Sign-off